Theories of Corporate Strategy

Exam code: 9BS0

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Written by: Lisa Eades
Reviewed by: Steve Vorster
Updated on 4 September 2025

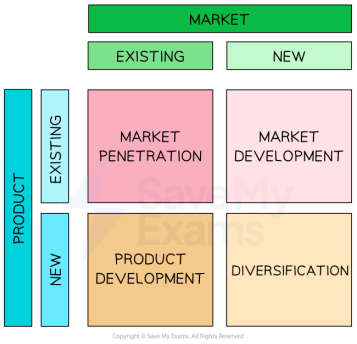
Development of corporate strategy

- A successful corporate strategy helps to provide a **competitive advantage**
- Effective corporate strategy development requires careful consideration of a range of **internal factors and the external environment** in which the business operates
  - Internal factors include the **human** and **capital resources** available
  - External factors include the **economic** and **political environments**
- Two strategic models used to develop a corporate strategy are the **Ansoff matrix** and **Porter's strategic matrix**

The Ansoff matrix

- The Ansoff matrix is a tool for businesses with a **growth objective**
- It is used to identify an **appropriate corporate strategy** and the **level of risk** associated with the chosen strategy
- The model considers four elements, which are broken down into two categories:
  - **The market** — existing and new markets
  - **The product** — existing and new products

The Ansoff matrix: strategies for growth



The Ansoff matrix identifies strategies for growth, depending on whether the product and market already exist or are new

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

customers by encouraging:
    - **More regular use** of the product
    - **Increased use** of the product
    - **Brand loyalty** of customers

- **Market development** involves finding and exploiting **new market opportunities for existing products** by:
  - **Entering new markets** at home or abroad
  - **Repositioning** the product by selling to different **customer profiles** (selling to other businesses as well as directly to consumers)
  - Seeking **complementary locations**
    - For example, M&S Food has achieved significant growth since teaming up with fuel retailers such as BP and Applegreen and providing express retail outlets

- **Product development involves selling new or improved products to existing customers by**:
  - Developing **new versions or upgrades** of existing successful products
  - **Redesigning packaging** and aesthetic features
  - **Relaunching heritage products** at commercially convenient intervals
    - For example, Cadbury relaunches Christmas-themed products each year, often with a subtle design change, to recapture the interest of customers

- **Diversification** is the **most risky** growth strategy, as it involves **targeting new customers with entirely new or redeveloped products**
  - Examples of diversification include:
    - **Tesco** launching a range of financial products, including current accounts and credit cards
    - **Greggs** launching a range of **themed clothing products**

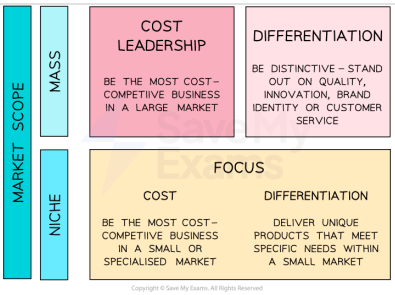
Porter's generic strategic matrix

- Porter's generic strategic matrix identifies a range of strategies a business might adopt, considering:
  - Its **source of competitive advantage** (cost or differentiation)
  - The **scope** of the market in which it operates (mass or niche)

- Porter argues that failing to adopt one of these strategies risks a business being "**stuck in the middle**" and unable to compete successfully with rivals in the market

Porter's generic matrix

Help me understand



Porter's generic matrix identifies cost leadership, differentiation and focus strategies

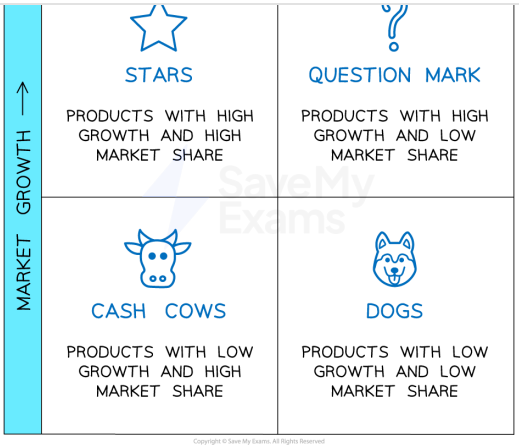
- Businesses operating in the **mass market** should adopt either a cost leadership or a differentiation strategy, depending on **what it is that makes them stand out** from their competitors
  - Businesses that have a significant cost advantage over competitors should exploit this as much as possible to achieve success, which is called **cost leadership**
  - Businesses that are unable to operate as the most competitive on cost should adopt a strategy of **differentiation**
- **A business that operates in a niche market should adopt a focus strategy that closely meets the needs of its specific group of customers**
  - A **cost focus** involves being the lowest cost competitor within the market niche
  - A **differentiation focus** involves offering specialised products within the niche market

Portfolio analysis

- Portfolio analysis involves a business carrying out a **detailed evaluation** of its full **range of products** so that **appropriate strategies** may be identified and pursued

Boston matrix

- The Boston Matrix is a portfolio analysis tool that considers the relative **market share** of a firm's products and the rate of growth within the market in which each product is sold



An example of the Boston matrix

- Stars are products sold in **high-growth markets** and have a **high level of market share**
  - Stars **require some ongoing investment** to maintain their market position and, if managed well, they are **likely to become cash cows** in the future
  - A **market penetration** strategy to increase sales revenue and maximise market share is likely to be appropriate
- **Cash cows are sold in lower-growth markets and have a high market share**
  - Cash cows **generate more cash** than they need to maintain their market position and can be used to **fund the development of other products** in the portfolio
  - Businesses **may seek new markets** for these products if they are relatively risk-free
- Question marks are sold in **high-growth markets** and have a relatively **low market share**
  - Question marks **require significant investment** if they are to improve their level of market share and become stars
  - There is a **risk that question marks will become dogs** when market growth rates slow
- Dogs are sold in **low-growth markets** and have a relatively **low market share**
  - Dogs have **little potential** for future growth and should be **divested** so that **finance and effort may be invested in other products**

Achieving competitive advantage through distinctive capabilities

- When a business has a particular strength that is very **difficult for competitors to copy**, it has a **distinctive capability**

Examples of distinctive capabilities

Distinctive capability	Explanation
• Operational **skills** and **expertise** within the business	• A business may have an **outstanding and committed design team** • This may mean that **product development** is a suitable strategy
• **Relationships** and **networks** established within and around the business	• A business may have developed **close trading relationships with key suppliers** • This may mean that a **low-cost** strategy is possible
• **Reputation** and **image** of the business	• A business may develop an **excellent reputation for quality** • A **differentiation** strategy is likely to be appropriate
• **Innovation** and the ability to change	• A business may be particularly effective at **responding to external change** • A **market development** strategy is likely to be suitable

The effects of strategic decisions on resources

- Strategic decision-making involves **medium- to long-term planning** to achieve corporate and functional objectives
  - It establishes the **actions** that the business intends to take to achieve its goals
- Strategic decision-making will have an **impact** on a business's **human**, **financial and production** resources

Examples of the impact of strategic decisions on resources

Enter a new overseas market

Impact on human	Impact on financial	Impact on production

be required to relocate • Additional staff with language skills may be required • More staff may be needed to achieve increased output	**budgets** will need to be increased • Investment in **overseas distribution** and retail outlets may be required	require adaptations to meet the needs of overseas customers • Increased output may require **more capital investment** in machinery

Withdraw an obsolete product from sale

Impact on human resources	Impact on financial resources	Impact on production resources
• Fewer workers may be required, as output is likely to be lower, so redundancies may be needed • The remaining staff may need to be **retrained or redeployed** to produce alternative goods	• Finance spent on the withdrawn product can be used elsewhere • Redundancy payments or retraining staff may incur significant short-term costs	• **Capacity utilisation** is likely to be lower, increasing the unit costs of production • The remaining stocks of the withdrawn product will require disposal

Merge with a competitor

Impact on human resources	Impact on financial resources	Impact on production resources

duplicated, redundancies or redeployment may be required • Staff may have greater opportunities for promotion in a larger organisation	resources may lead to **improved cash flow** and a healthier **balance sheet** • Duplicated capital equipment and property may be sold to create income	be initially incompatible and require reorganisation • Techniques and knowledge can be shared between former rivals

Examples of the impact of tactical decisions on resources

- Tactical decisions are made to **support the overall strategy** and are usually **short-term**
- Tactical decision-making will also have an **impact** on a business's **human**, **financial and production** resources

Awarding a bonus to workers

The impact of the tactical decision to award production workers a one-off 25% bonus to complete a last-minute order from a key customer

Decoration of business premises

The impact of the tactical decision to decorate the business premises following a series of negative secret shopper reviews

Examiner Tips and Tricks

You should be able to distinguish between strategic and tactical decisions in a business context and make judgements about whether the distinction is useful in business.

Strategy is more long-term and relates to achieving an overall goal; tactics are shorter-term actions that help to achieve the strategy.

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